The Martingale strategy

How it works and capital-management risk

What is Martingale?

A staking method that generally doubles the stake after every loss. The example assumes a 50% win probability and net winnings equal to the stake.

How stakes grow

First stake: ¥1,000 → ¥2,000 → ¥4,000 → ¥8,000. Four consecutive losses total ¥15,000. Winning the next ¥16,000 stake produces a net profit of ¥1,000.

Risk from consecutive losses

After n consecutive losses, cumulative loss = initial stake × $(2^n - 1)$. Seven consecutive losses mean a ¥127,000 loss; the next stake is ¥128,000. Capital constraints or stake limits can prevent continuation.

Points for investing

Increasing the stake does not improve a trade's expected value. This differs from averaging down in shares, but additional capital committed after losses deserves care. Set an acceptable loss and capital ceiling in advance.